

OCAD · ONE COMPANY A DAY

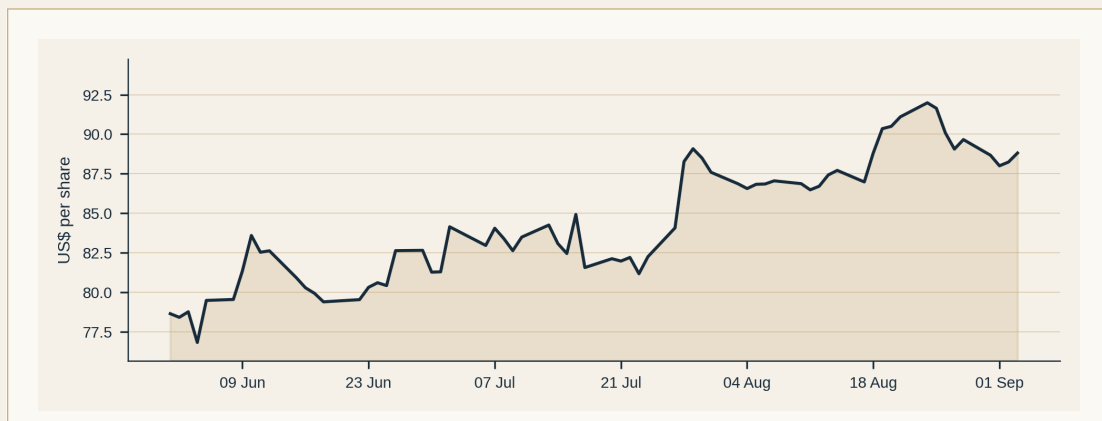
FOOD AND BEVERAGE SERIES

The Coca-Cola Company

NYSE: KO · S&P 500 · Beverages – Non-Alcoholic

US\$88.81

Closing price, 3 September 2026 (latest completed session as of report date)



KO closing price, three months to 3 September 2026. Source: Alpha Vantage daily equity price series.

REPORT DATE

4 September 2026

ANALYST

Arthur Faugeron

SERIES

Food and Beverage

CLASSIFICATION

OCAD Institutional Memorandum

Executive Summary

Business

The Coca-Cola Company is an asset-light beverage brand owner that sells concentrates, syrups and finished beverages to an independent network of bottling partners, which manufacture, package and distribute the finished drinks under long-term bottler agreements. The company owns the trademarks, formulas and marketing, while its bottling system carries the capital-intensive manufacturing and distribution footprint.

Revenue is generated primarily through concentrate sales to bottlers plus a smaller finished-product business, spanning five operating segments: North America, Latin America, Europe Middle East and Africa (EMEA), Asia Pacific, and Bottling Investments (consolidated company-owned bottlers). North America is the single largest segment by comparable net revenues (40 percent of the FY2025 total), followed by EMEA (23 percent), Latin America (13 percent), Bottling Investments (12 percent) and Asia Pacific (12 percent). Products are sold in more than 200 countries through roughly 200 owned or licensed brands spanning sparkling soft drinks, water, sports drinks, juice, dairy, coffee and tea.

Financial Condition

FY2025 net operating revenues were \$47.9 billion, up 2 percent on a reported basis and 5 percent on an organic (non-GAAP) basis. GAAP operating income rose 38 percent to \$13.8 billion (28.7 percent margin), while comparable (non-GAAP) operating margin was 31.2 percent; the gap between the two reflects a \$960 million non-cash BODYARMOR trademark impairment recorded in the fourth quarter. GAAP net income was \$13.1 billion and reported diluted EPS was \$3.04 (comparable EPS \$3.00). Operating cash flow was \$7.4 billion and free cash flow was \$5.3 billion for FY2025, both depressed by a one-time \$6.1 billion contingent-consideration payment tied to the 2020 fairlife acquisition; free cash flow excluding that item was \$11.4 billion. Net debt stood at approximately \$36.9 billion at fiscal year-end (roughly \$30.6 billion on the most recent quarterly balance sheet), equal to 1.8 to 2.0 times EBITDA.

Market Position

Coca-Cola competes principally with PepsiCo, Keurig Dr Pepper, Nestle and Danone across the global non-alcoholic ready-to-drink category, and with Monster Beverage (in which Coca-Cola holds a minority equity stake) in energy drinks. The company states it gained value share in total non-alcoholic ready-to-drink beverages in both the fourth quarter and full year 2025. Its principal advantage is the combination of the Coca-Cola trademark, an unmatched global bottling and distribution network, and a capital-light concentrate model that converts brand strength into high incremental margins. Its principal structural weakness is a continued dependence on carbonated soft drinks in a category facing secular volume pressure in developed markets from health and sugar-reduction trends, alongside currency translation exposure given its heavily international revenue base.

Valuation

At the 3 September 2026 close of \$88.81, Coca-Cola's market capitalization was approximately \$382.1 billion. Applying the most recent quarterly balance sheet, enterprise value is approximately \$412.7 billion. The stock trades at a trailing price-to-earnings ratio of 26.5 times, a calculated EV/EBITDA of roughly 24.3 times against trailing twelve-month EBITDA (20.5 times on the data provider's own EV/EBITDA convention), a price-to-sales ratio of 7.6 times, and a trailing free cash flow yield of approximately 3.7 percent. These multiples sit above both PepsiCo (18.4 times trailing P/E, 12.5 times EV/EBITDA) and Keurig Dr Pepper (32.9 times trailing P/E, 16.8 times EV/EBITDA on a smaller, faster-growing but lower-margin base),

reflecting the market's willingness to pay a premium for Coca-Cola's higher margin structure, lower balance-sheet risk and longer dividend track record.

Investment Framework

WHAT IS ATTRACTIVE	A 63-year unbroken record of dividend increases, mid-30s percent EBITDA margins, an asset-light concentrate model that requires limited incremental capital, and comparable operating margin expansion of roughly 120 basis points in FY2025 even as reported figures absorbed a trademark impairment.
WHAT IS CONCERNING	Reported free cash flow fell sharply in FY2024 and FY2025 versus the FY2021 to FY2023 run rate; a portion is explained by the one-off fairlife payment, but underlying cash conversion (operating cash flow to net income) has also declined, and the stock's valuation multiple leaves little room for execution missteps.
WHAT MUST GO RIGHT	Continued price/mix-led organic growth in the 4 to 6 percent range, successful execution of the CEO transition to Henrique Braun (effective 31 March 2026), and completion of the announced Coca-Cola Beverages Africa (CCBA) partial divestiture without disrupting African market share.
WHAT COULD BREAK THE THESIS	An adverse outcome in the ongoing multi-billion-dollar transfer-pricing dispute with the U.S. Internal Revenue Service, sustained volume erosion in carbonated soft drinks from GLP-1-driven demand destruction or regulatory sugar taxes, or a reversal of the currency tailwinds embedded in 2026 guidance.
WHAT APPEARS PRICED IN	A discounted cash flow analysis built on management's guided margin trajectory suggests the current share price is consistent with a discount rate near the low end of a reasonable range (close to the capital asset pricing model estimate of roughly 5.8 percent implied by KO's low beta) and a terminal growth rate at or slightly above 2.5 percent. In other words, the market is pricing in durable, low-risk compounding rather than material margin or volume upside beyond current guidance.

Investment Profile

BUSINESS QUALITY	High. Asset-light brand and concentrate model with global scale advantages and structurally high gross margins (around 60 to 62 percent).
FINANCIAL QUALITY	Solid but with recent noise. Investment-grade balance sheet and long dividend history; FY2024 to FY2025 free cash flow was depressed by one-off items that require normalization.
COMPETITIVE POSITION	Strong. Category co-leader with PepsiCo; broadest bottling and distribution network in the industry.
GROWTH PROFILE	Moderate. Organic revenue growth guided at 4 to 5 percent for 2026, driven more by price/mix than by unit case volume, which was roughly flat in FY2025.
BALANCE-SHEET RISK	Low to moderate. Net debt to EBITDA of approximately 1.8 to 2.0 times is conservative for the sector; the unresolved IRS tax dispute is a discrete tail risk.
VALUATION	Full. Trading at a premium to both packaged-food peers and its own DCF-implied range under most reasonable assumptions.
MARKET AND TECHNICAL PROFILE	Constructive. Price is above both its 50-day and 200-day moving averages and roughly 4 percent below its 52-week high.

A. About the Business

A1. Business Environment

Coca-Cola operates in the global non-alcoholic ready-to-drink (NARTD) beverage industry, a market research firms estimate at roughly \$1.3 trillion in 2026 and forecast to grow at a mid-single-digit compound rate through the early 2030s, driven by emerging-market income growth, premiumization toward functional and better-for-you formats, and continued urbanization. The industry spans sparkling soft drinks, water, sports drinks, juice and dairy, coffee and tea, and energy drinks, each with different growth, margin and capital-intensity profiles: sparkling soft drinks are the largest and most profitable category for incumbents but are structurally maturing in developed markets, while water, sports, coffee, tea and energy are the faster-growing categories into which Coca-Cola and its peers have redirected investment.

Economic value in the industry is captured disproportionately by owners of trademarks, formulas and marketing rather than by manufacturers and distributors of finished product: concentrate and brand-licensing economics carry gross margins in the 55 to 65 percent range with limited fixed-asset intensity, while bottling and finished-goods manufacturing is capital-intensive, low-margin and working-capital heavy. This bifurcation explains why Coca-Cola, PepsiCo and Keurig Dr Pepper have each pursued asset-light or partially asset-light bottling structures, refranchising company-owned bottling operations to independent or partially independent bottlers over the past decade.

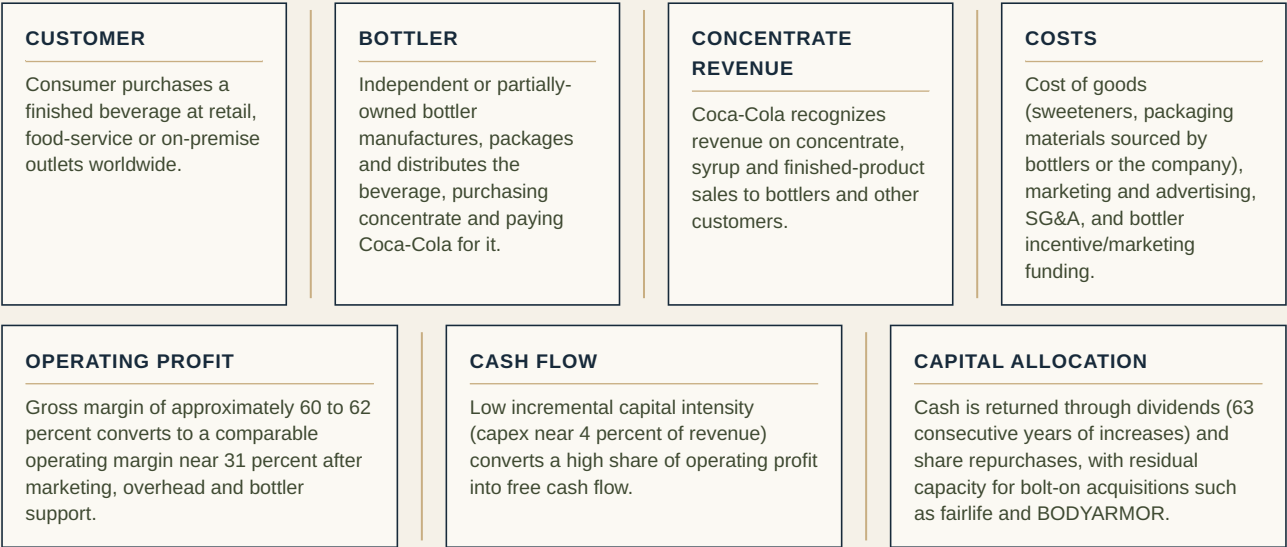
The industry is capital-intensive at the system level (bottling, cold-drink equipment, distribution fleets) but not at the brand-owner level, moderately cyclical (demand is more resilient than discretionary categories but exposed to input-cost inflation and consumer down-trading in downturns), and subject to increasing regulatory attention around sugar content, plastic packaging and extended producer responsibility rules in a growing number of jurisdictions. Reasoned classification: the industry is best described as mature and consolidating in its core carbonated soft drink category, with pockets of structural growth in water, sports, energy and coffee/tea, and increasing regulatory and public-health headwinds that are reshaping product formulation and packaging economics industry-wide.

A2. What Does the Company Do?

Coca-Cola manufactures and sells beverage concentrates, syrups, and finished beverages to a global network of bottling and distribution partners under long-term contracts known as bottler's agreements. Under these agreements, bottlers are obligated to purchase their full concentrate requirements from Coca-Cola or Coca-Cola-authorized suppliers, and in turn hold exclusive rights to manufacture, package, merchandise and distribute Coca-Cola trademark beverages within a defined territory. In 2025, concentrate operations represented the larger share of net operating revenues, with a smaller finished-product business (primarily company-owned bottling operations, food-service fountain sales, and certain direct retail relationships) making up the remainder.

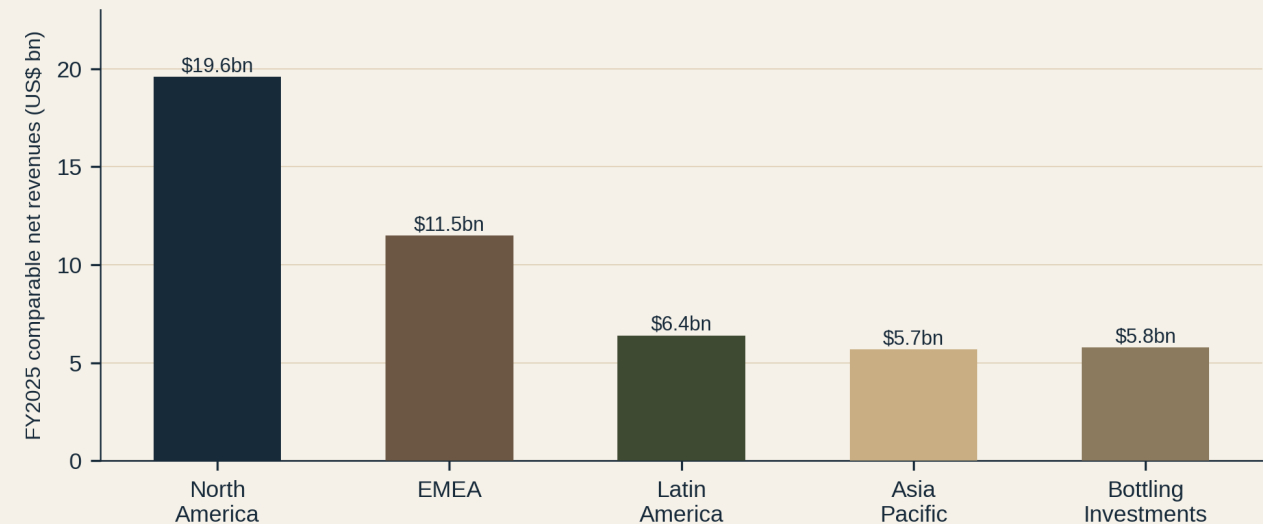
The portfolio spans roughly 200 brands across six category groups: sparkling soft drinks (Coca-Cola, Diet Coke, Sprite, Fanta), water and hydration (Dasani, smartwater, Topo Chico, BODYARMOR, Powerade), coffee and tea (Costa Coffee, Fuze Tea, Gold Peak, Ayataka), juice, dairy and plant-based beverages (Minute Maid, Simply, innocent, fairlife, Del Valle, AdeS), and, more recently, alcohol ready-to-drink products (Jack Daniel's & Coca-Cola, Simply Spiked, Topo Chico Hard Seltzer) produced through licensing and joint-venture arrangements rather than direct alcohol production.

How a dollar flows through the business



Reasoned by the analyst from the company's disclosed revenue-recognition and bottler-agreement structure (10-K, Item 1) and FY2025 margin disclosures.

FY2025 comparable net revenues by geographic segment



Comparable (non-GAAP) net revenues by segment, full year 2025. Source: The Coca-Cola Company, Investor Relations Segments disclosure.

The most economically important link in this chain is the concentrate-to-bottler relationship: because Coca-Cola sets concentrate pricing and owns the trademarks, it captures a disproportionate share of system economics relative to the capital employed, while bottlers absorb the manufacturing, logistics and working-capital burden. This is the structural source of the company's high return on invested capital relative to food and beverage manufacturers that own their own production.

A3. Business and Relationship Network

KEY BOTTLING PARTNERS	Coca-Cola FEMSA (the system's largest bottler by unit case volume, concentrated in Mexico and Latin America), Coca-Cola Europacific Partners (the largest independent bottler by revenue, covering Western Europe, Australia and the Asia-Pacific rim), Coca-Cola HBC (Central and Eastern Europe, Africa), and Coca-Cola Consolidated, Swire Coca-Cola, Arca Continental and Reyes Coca-Cola Bottling in North America. Five bottling partners together account for roughly 44 percent of worldwide unit case volume.
CONSOLIDATED (OWNED) BOTTLERS	The Bottling Investments segment consolidates company-owned bottling operations, currently concentrated in Africa (Coca-Cola Beverages Africa), India, Malaysia, Myanmar, Nepal, Oman, Singapore and Sri Lanka; this footprint has shrunk from 52 percent of net revenues in 2015 to 12 percent in 2025 as the company has refranchised bottling operations to reduce capital intensity.
MAJOR CUSTOMERS	Large retail chains, wholesalers, convenience and food-service operators worldwide; no single external customer is disclosed as individually material to consolidated revenue.
STRATEGIC AND EQUITY INVESTMENTS	A minority equity stake in Monster Beverage Corporation (energy drinks), joint ventures in coffee (Costa) and various regional dairy and juice partnerships including fairlife (majority-owned since 2020).
SUPPLIERS	Sweetener, packaging material (PET resin, aluminum) and juice concentrate suppliers; the company and its bottlers face shared exposure to agricultural commodity and packaging input cost inflation.
MAJOR SHAREHOLDERS	Berkshire Hathaway Inc. is the largest disclosed institutional holder, with a long-standing unchanged position of 400 million shares (roughly 9 percent of shares outstanding) as of the most recent 13F reporting date; Vanguard Group is the largest index-fund holder.

Each relationship matters economically for a different reason: bottling partners convert brand equity into physical availability at a fraction of Coca-Cola's own capital cost; the shrinking Bottling Investments segment marks the completion of a decade-long strategic shift toward an asset-light model; and the Berkshire Hathaway position is a long-cited signal of the market's view of Coca-Cola as a durable, low-volatility compounder.

A4. Competition

Coca-Cola's most economically relevant competitors are companies that compete for the same retail shelf space, bottler relationships, marketing spend and consumer occasions, rather than every company classified under the same industry code.

COMPETITIVE COMPARISON, NON-ALCOHOLIC BEVERAGES

Company	Primary category focus	Geographic exposure	Revenue (TTM)	Op. margin	Relative position vs. Coca-Cola
PepsiCo (PEP)	Beverages and salty snacks (Frito-Lay, Quaker)	Global, weighted to North America	\$96.9bn	16.8%	Larger and more diversified by revenue, but lower beverage-segment margin; owns its own bottling for a larger share of volume
Keurig Dr Pepper (KDP)	Carbonated soft drinks, coffee systems	Primarily North America	\$20.1bn	12.9%	Smaller scale, faster recent revenue growth from the JDE Peet's coffee integration, materially lower margin and higher leverage

Company	Primary category focus	Geographic exposure	Revenue (TTM)	Op. margin	Relative position vs. Coca-Cola
Nestle S.A.	Water, dairy, coffee (Nescafe, Nespresso)	Global, weighted to Europe	N/A	N/A	Direct competitor in water and coffee; broader food portfolio dilutes pure beverage comparability
Danone S.A.	Dairy, plant-based, water (Evian, Volvic)	Global, weighted to Europe	N/A	N/A	Direct competitor in water and dairy-based beverages, not in carbonated soft drinks
Monster Beverage Corp.	Energy drinks	Global, weighted to North America	N/A	N/A	Competes with Coca-Cola's own energy portfolio while Coca-Cola simultaneously holds a minority equity stake in Monster

Revenue and margin figures for PEP and KDP calculated by the analyst from Alpha Vantage company-overview data (trailing twelve months to most recent quarter). Nestle, Danone and Monster Beverage figures marked not retrieved as they were not independently pulled for this report; see Sources and Methodology.

A5. Competitive Differences

Advantages

- **Brand equity:** Coca-Cola is among the most recognized trademarks globally, supporting pricing power and shelf placement that smaller and private-label competitors cannot replicate.
- **Scale and distribution:** the bottling system reaches more than 200 countries, giving the company physical availability that few competitors can match, particularly in emerging markets.
- **Asset-light economics:** the concentrate model generates gross margins of roughly 60 percent with limited incremental capital requirements, translating brand strength directly into high returns on invested capital (calculated at approximately 20 to 23 percent in recent years).
- **Category and portfolio breadth:** ownership across sparkling, water, sports, coffee, tea, juice and dairy diversifies the company away from single-category regulatory or health-trend risk relative to narrower competitors such as Keurig Dr Pepper.

Disadvantages

- **Category concentration risk:** sparkling soft drinks, while diversified across brands, remain exposed in aggregate to structural volume headwinds in developed markets from sugar-reduction and health trends.
- **Currency exposure:** with the large majority of revenue generated outside the United States, reported results carry meaningful foreign-exchange translation volatility, as seen in the roughly 2 percentage-point currency drag on FY2025 reported revenue growth.
- **Bottler dependence:** financial and operational performance depends on the health and cooperation of independent bottling partners over which Coca-Cola has contractual but not full operating control.
- **Regulatory exposure:** sugar taxes, plastic packaging rules and extended producer responsibility regulation are expanding in scope across both developed and emerging markets.

The brand, distribution-scale and concentrate-economics advantages are structural and have persisted for decades; they are unlikely to erode materially over the report's investment horizon. Currency exposure and bottler dependence are largely structural as well, though partially mitigated by geographic and hedging diversification. Reasoned assessment: the moat is **Strong**, anchored in brand equity and an unmatched global distribution network that would be prohibitively expensive for a new entrant to replicate, though not **Very Strong** given the category's exposure to structural health and regulatory headwinds that even the strongest brand cannot fully offset.

A6. Industry Trend

The global NARTD beverage industry has grown at a low-to-mid-single-digit rate over the past five years, with growth increasingly driven by price/mix rather than unit volume in developed markets, and by both price and volume in emerging markets. Coca-Cola's own FY2025 results illustrate the pattern: unit case volume was roughly flat for the full year while organic revenue grew 5 percent, almost entirely on pricing and favorable mix. Structural growth drivers include emerging-market income growth, premiumization toward functional and lower-sugar formats, and continued expansion of on-the-go and single-serve consumption occasions. Cyclical or temporary pressures include input-cost inflation in sweeteners and packaging, and near-term currency headwinds and tailwinds that vary by year.

Reasoned classification: the industry overall is **Mature** in its core carbonated soft drink category and **Growing** in water, sports, coffee/tea and energy, with an accelerating **Structurally transforming** element as sugar-reduction regulation, GLP-1 medication-driven changes in consumer appetite, and packaging-sustainability rules reshape product formulation and cost structures industry-wide. A reversal of the current trend toward mid-single-digit organic growth would most likely be triggered by a sharp deceleration in emerging-market consumer spending, a faster-than-expected shift away from sugared beverages, or renewed input-cost inflation that outpaces the industry's ability to pass through price.

A7. Management

HENRIQUE BRAUN
CHIEF EXECUTIVE
OFFICER

Became CEO effective 31 March 2026, succeeding James Quincey after serving as Executive Vice President and Chief Operating Officer since January 2025. Braun joined Coca-Cola in Atlanta in 1996 and has held leadership roles across North America, Europe, Latin America and Asia, including President of the Latin America operating unit (2020 to 2022), President of Brazil (2016 to 2020) and President for Greater China and South Korea (2013 to 2016). He holds degrees from the Federal University of Rio de Janeiro, Michigan State University and Georgia State University.

JAMES QUINCEY
EXECUTIVE
CHAIRMAN

Served as CEO from 2017 to March 2026 and remains Executive Chairman of the Board. Under his nine-year tenure the company pursued a "total beverage company" strategy, adding more than ten billion-dollar brands and leading a shift toward an asset-light, franchised bottling model. He joined the company in 1996 and previously served as COO and President of the Europe Group.

JOHN MURPHY
PRESIDENT AND
CHIEF FINANCIAL
OFFICER

Continues as President and CFO, overseeing global strategy, corporate development, investor relations, tax, treasury, accounting and controls, and enterprise services.

The December 2025 announcement of an internally promoted successor, rather than an external hire, together with Quincey's continued presence as Executive Chairman, points to continuity of strategy through the leadership transition. On capital allocation, management has prioritized the dividend (63 consecutive years of increases, a hallmark "Dividend King" track record), disciplined bolt-on M&A (fairlife in 2020, BODYARMOR in 2021) and continued refranchising of company-owned bottling operations (the pending CCBA transaction) over large-scale share buybacks; net share repurchases were a modest \$0.4 billion in FY2025 against \$8.8 billion of dividends paid, indicating dividends remain the primary vehicle for cash return. This capital allocation pattern is broadly aligned with shareholder interests, prioritizing balance-sheet conservatism and dividend continuity over financial engineering.

B. Evaluation

B1. Financial and Operating Metrics

The metrics below are calculated by the analyst from the company's reported GAAP financial statements (Alpha Vantage normalized SEC data) for fiscal years 2020 through 2025, unless otherwise noted. Figures may differ modestly from company-disclosed non-GAAP or comparable metrics, which exclude items such as the FY2025 BODYARMOR impairment; those differences are noted where material.

PROFITABILITY AND RETURNS, FY2020–FY2025 (CALCULATED)

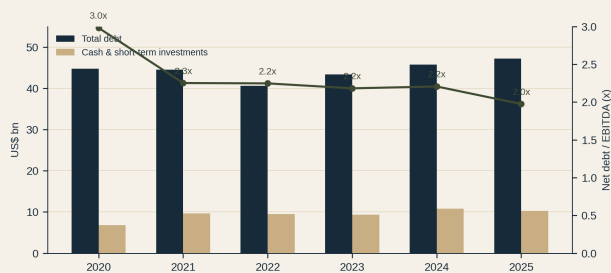
Metric	2020	2021	2022	2023	2024	2025
Gross margin	59.3%	60.3%	58.1%	59.5%	61.1%	61.6%
Operating margin (GAAP)	27.3%	26.7%	25.4%	24.7%	21.2%	28.7%
EBITDA margin	38.5%	40.0%	32.2%	34.1%	33.6%	39.0%
Net margin	23.5%	25.3%	22.2%	23.4%	22.6%	27.3%
Return on equity	40.1%	46.2%	40.5%	42.8%	41.9%	46.0%
Return on invested capital	15.6%	19.2%	18.2%	20.8%	20.0%	22.5%

Return on equity uses average shareholders' equity; return on invested capital uses NOPAT over average invested capital (total debt plus equity, less cash and short-term investments). The FY2021 EBITDA margin is elevated by a \$3,714 million other non-operating income item (equity-investment related) that is not part of core operations; the underlying FY2021 EBITDA margin excluding that item would be materially lower.

LEVERAGE, LIQUIDITY AND CASH CONVERSION, FY2020–FY2025 (CALCULATED)

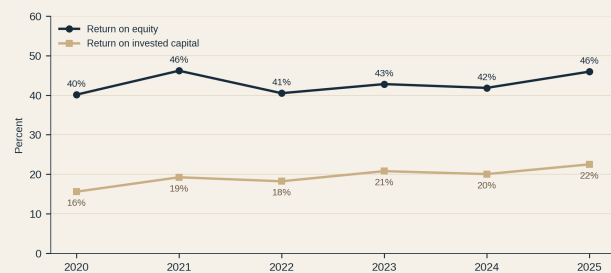
Metric	2020	2021	2022	2023	2024	2025
Net debt / EBITDA	2.98x	2.25x	2.25x	2.18x	2.21x	1.98x
Total debt / equity	2.32x	1.94x	1.68x	1.67x	1.84x	1.47x
Interest coverage (EBIT/interest exp.)	7.8x	8.8x	14.2x	9.5x	8.9x	10.7x
Current ratio	1.32x	1.13x	1.15x	1.13x	1.03x	1.46x
Equity ratio (equity / total assets)	22.1%	24.4%	26.0%	26.6%	24.7%	30.7%
Operating cash flow / net income	1.27x	1.29x	1.15x	1.08x	0.64x	0.57x
Dividend payout ratio (dividends / net income)	91.0%	74.2%	79.8%	74.2%	78.6%	67.0%

Total debt and cash versus net debt / EBITDA



FY2020–FY2025. Source: company financial statements; analyst calculation.

Return on equity and return on invested capital



FY2020–FY2025, calculated by the analyst as described above.

The decline in operating cash flow to net income from 1.29 times in FY2021 to 0.57 times in FY2025 is the single most important cash-flow-quality signal in the five-year record. It is only partially explained by the one-off \$6.1 billion fairlife contingent-consideration payment (a financing-linked item that nonetheless flowed through the cash-from-operations line under GAAP classification); the remainder reflects working-capital timing and other non-cash reconciling items that merit monitoring in the FY2026 cash flow statement. Net leverage, by contrast, has improved steadily, from 2.98 times EBITDA in 2020 to 1.98 times in 2025, and interest coverage remains comfortable at nearly 11 times EBIT.

B2. Risks

BUSINESS RISK

Continued volume softness in carbonated soft drinks in developed markets; geographic concentration in North America (40 percent of comparable segment revenue) and reliance on independent bottlers whose financial health the company does not fully control.

FINANCIAL RISK

Approximately \$43 to \$47 billion of gross debt outstanding; refinancing and interest-rate exposure on that balance, and currency risk given the large non-U.S. dollar revenue base translated back to U.S. dollar reporting.

COMPETITIVE RISK

PepsiCo and Keurig Dr Pepper compete aggressively on price and innovation in North America; private-label and regional challenger brands are gaining share in some emerging markets.

TECHNOLOGICAL RISK

Limited direct disruption risk from automation or AI, but e-commerce and direct-to-consumer channel shifts require continued investment in digital commerce capability; cybersecurity risk across a large global operating footprint.

REGULATORY RISK

Expanding sugar taxes, plastic-packaging extended producer responsibility rules, and potential new restrictions on marketing to children in multiple jurisdictions; an unresolved, multi-billion-dollar U.S. transfer-pricing dispute with the Internal Revenue Service.

MACRO RISK

Foreign-exchange translation volatility (an approximately 2 percentage-point currency headwind to FY2025 reported revenue growth), input-cost inflation in sweeteners, aluminum and PET resin, and interest-rate sensitivity on floating and refinanced debt.

VALUATION RISK

A trailing P/E of 26.5 times and a calculated EV/EBITDA near 24 times leave limited room for multiple compression if growth or margin execution disappoints relative to the 2026 guidance of 4 to 5 percent organic revenue growth and 7 to 8 percent comparable EPS growth.

Ranked by probability multiplied by impact, the three risks most capable of permanently impairing shareholder value are: first, an adverse resolution of the IRS transfer-pricing dispute, where public reporting has cited a potential liability (tax plus accrued interest) of up to approximately \$20 billion, a sum equal to roughly 5 percent of Coca-Cola's current market capitalization, with a federal appeals court having heard oral arguments in 2026; second, a structural, faster-than-expected

decline in sugared-beverage consumption driven by public health policy or by the growing use of GLP-1 weight-management medications, which could pressure both volume and pricing power in the core sparkling category; and third, sustained multiple compression from the current premium valuation toward peer-average levels, which would erode total shareholder return even if underlying operating performance meets guidance.

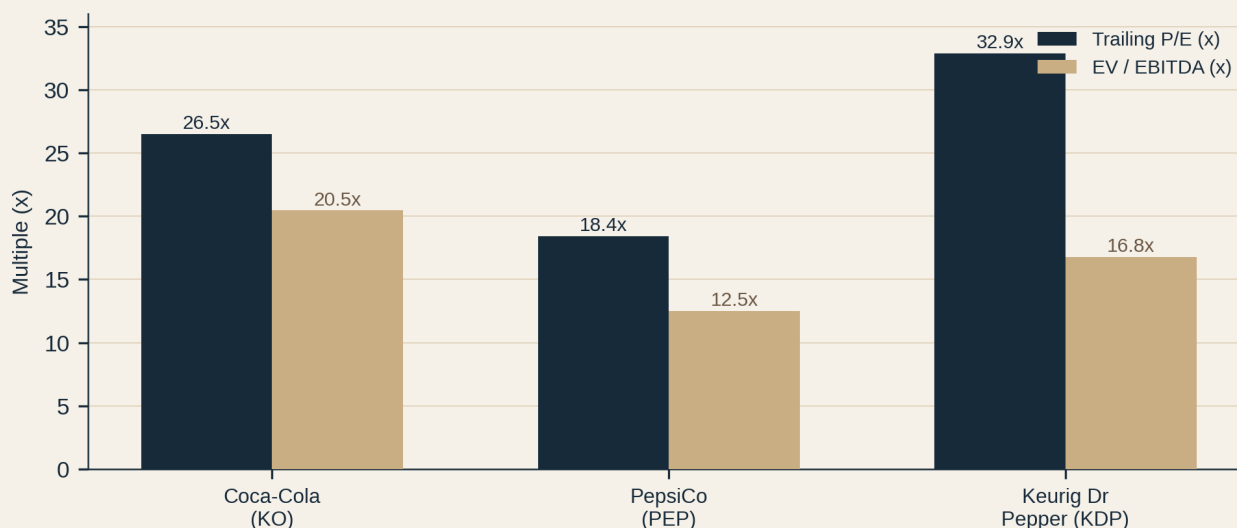
B3. Valuation

VALUATION MULTIPLES, KO VS. PEERS (TRAILING TWELVE MONTHS)

Metric	Coca-Cola (KO)	PepsiCo (PEP)	Keurig Dr Pepper (KDP)
Trailing P/E	26.5x	18.4x	32.9x
Forward P/E	25.1x	15.5x	12.5x
EV / EBITDA (data-provider convention)	20.5x	12.5x	16.8x
EV / Revenue	8.1x	2.4x	3.6x
Price / Sales	7.6x	2.0x	2.2x
Operating margin (TTM)	34.9%	16.8%	12.9%
Return on equity (TTM)	42.0%	51.5%	5.1%
Dividend yield	2.4%	4.1%	2.8%
Beta (5-year monthly, as reported)	0.34	0.36	0.41

Source: Alpha Vantage company-overview data, most recent quarter end 30 June 2026 for all three companies. KO's reported TTM operating margin of 34.9 percent benefits from the same data-provider EBITDA/operating-income normalization applied across all three companies and is not directly comparable to the FY2025 GAAP operating margin of 28.7 percent discussed elsewhere in this report; see the footnote to the income statement section.

Valuation multiples versus peers



Trailing P/E and EV/EBITDA (data-provider convention), most recent quarter end 30 June 2026. Source: Alpha Vantage company-overview data.

Coca-Cola trades at a meaningful premium to PepsiCo on every multiple shown, consistent with its higher margin structure, lower financial leverage and narrower category focus, but the premium to Keurig Dr Pepper is less consistent: KDP's negative TTM earnings growth (down 90 percent year over year in the most recent quarter, reflecting integration costs from

the JDE Peet's coffee acquisition) inflates its trailing P/E to an unrepresentative level, while its forward P/E of 12.5 times sits well below Coca-Cola's, signalling that the market expects a sharp near-term earnings recovery at KDP rather than viewing it as a structurally cheaper business.

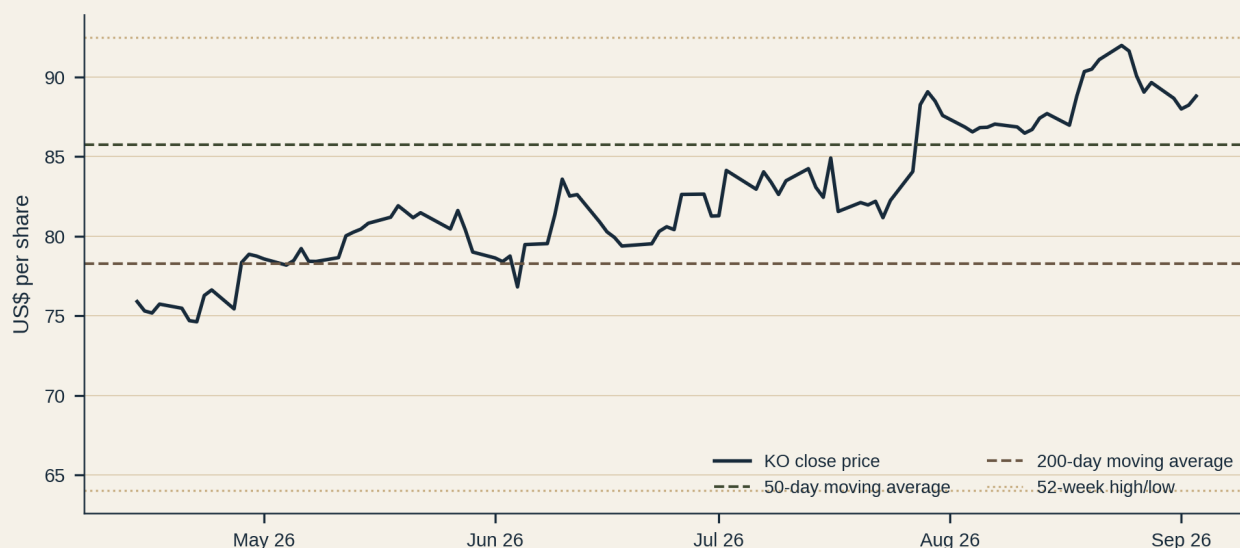
Against its own history, Coca-Cola's current trailing P/E of 26.5 times sits above its long-run average (typically in the low-to-mid twenties over the past decade), while its dividend yield of 2.4 percent sits below its historical range, both consistent with a market willing to pay up for defensive quality amid a period of broader market uncertainty. A discounted cash flow analysis is presented in Section C5; at a capital-asset-pricing-model-implied discount rate of approximately 5.8 percent (reflecting KO's low beta of 0.34) and a 2.5 percent terminal growth rate, the DCF-implied value per share is approximately \$80, modestly below the current market price of \$88.81, while a more conventional 6.5 percent discount rate would require a terminal growth assumption of roughly 3.6 percent to justify the current price, an above-normal terminal assumption. On balance, current market expectations appear **Optimistic** rather than **Conservative**, pricing in either a lower risk premium than CAPM would suggest for a company of KO's size, or sustained margin expansion toward the upper end of management's guidance range, or both.

B4. Capital Market and Stock Analysis

PRICE HISTORY AND RETURNS (AS OF 3 SEPTEMBER 2026 CLOSE)

Period	Return
1 day	+0.65%
1 week (5 trading days, price only)	-0.28%
1 month (21 trading days, price only)	+2.28%
3 months (63 trading days, price only)	+15.61%
Year to date (total return, dividends reinvested, through 2 Sep 2026)	+27.9%
1 year (total return, dividends reinvested, through 2 Sep 2026)	+31.4%
3 year (total return, dividends reinvested, through 2 Sep 2026)	+62.5% (+17.6%/yr)
5 year (total return, dividends reinvested, through 2 Sep 2026)	+80.2% (+12.5%/yr)

1-day, 1-week, 1-month and 3-month figures calculated by the analyst from Alpha Vantage daily closing prices (price return only, dividends excluded). Year-to-date, 1-year, 3-year and 5-year figures are dividend-reinvested total returns sourced from Total Real Returns as of 2 September 2026 (see Sources and Methodology), one trading day prior to the 3 September 2026 report date.

KO share price versus 50-day and 200-day moving averages

Source: Alpha Vantage daily closing price series (available window: 14 April 2026 to 3 September 2026); 50-day and 200-day moving averages as reported by the data provider as of 3 September 2026. 52-week high/low reference lines from the same source.

KO closed at \$88.81 on 3 September 2026, within the upper third of its 52-week range of \$64.04 to \$92.49 and approximately 4.0 percent below its 52-week high. The stock trades above both its 50-day moving average (\$85.75) and 200-day moving average (\$78.27), a configuration generally associated with an intact intermediate-term uptrend. Reported beta of 0.34 places KO among the lowest-volatility large-cap equities in the market, consistent with its defensive consumer-staples classification; this technical structure should be read as a market-positioning observation rather than a valuation signal, since a stock can be technically strong and fundamentally expensive at the same time, which appears to be the case here given the valuation discussion in Section B3.

C. Financial Statements

All figures below are reported (GAAP) unless labelled as calculated or comparable (non-GAAP). Source: Alpha Vantage normalized financial-statement data (SEC-derived) cross-checked against the company's Q4/FY2025 earnings release and Form 10-K for fiscal year 2025.

C1. Income Statement

CONSOLIDATED INCOME STATEMENT, FY2020–FY2025 (US\$ MILLIONS, REPORTED)

Line item	2020	2021	2022	2023	2024	2025
Net operating revenues	33,014	38,655	43,004	45,754	47,061	47,941
Gross profit	19,581	23,298	25,004	27,234	28,737	29,544
SG&A expense	6,563	7,865	8,665	8,978	9,296	9,121
Operating income	8,997	10,308	10,909	11,311	9,992	13,762
EBITDA (calculated)	12,722	15,474	13,828	15,607	15,817	18,702
Net interest expense	(1,348)	(1,321)	(-157)	(620)	(668)	(491)
Income before tax	9,749	12,425	11,686	12,952	13,086	15,998
Income tax expense	1,981	2,621	2,115	2,249	2,437	2,861
Net income	7,747	9,771	9,542	10,714	10,631	13,107
Diluted EPS (data-provider basis, US\$)	1.95	2.33	2.48	2.69	2.88	3.00

EBITDA is a calculated, non-GAAP measure (operating income plus depreciation and amortization, as normalized by the data provider). For FY2025, the data-provider diluted EPS figure of \$3.00 corresponds to the company's disclosed comparable (non-GAAP) EPS rather than GAAP reported EPS of \$3.04; the company's FY2025 GAAP EPS grew 23 percent year over year while comparable EPS grew 4 percent, a divergence driven by non-recurring tax and impairment items. Prior-year figures in this row should likewise be treated as data-provider normalized diluted EPS, which may not be strictly comparable across years.

FY2025 revenue growth of 2 percent reported (5 percent organic, non-GAAP) was driven almost entirely by price/mix, with unit case volume roughly flat for the year; growth therefore reflects pricing power and favorable channel/package mix rather than higher unit demand. GAAP operating income grew 38 percent, but this reported growth is not representative of underlying operating leverage: FY2024 operating income had been reduced by larger "items impacting comparability" than FY2025, so the year-over-year comparison overstates organic improvement. On a comparable (non-GAAP) currency-neutral basis, operating income grew 13 percent, driven by organic revenue growth and cost discipline, partially offset by higher marketing spend and input costs. Gross margin has expanded from 59.3 percent in 2020 to 61.6 percent in 2025, evidence of sustained pricing power and a favorable mix shift toward higher-margin markets and packages; operating margin is best read on the comparable basis (31.2 percent in FY2025 versus 30.0 percent in FY2024) given the volatility introduced by discrete impairment and restructuring items in the GAAP figure.

C2. Balance Sheet

CONSOLIDATED BALANCE SHEET, FY2020–FY2025 (US\$ MILLIONS, REPORTED)

Line item	2020	2021	2022	2023	2024	2025
Cash and short-term investments	6,795	9,684	9,519	9,366	10,828	10,270
Total current assets	19,240	22,545	22,591	26,732	25,997	31,044
Goodwill and intangible assets	28,550	34,613	33,631	33,223	31,440	28,022
Total assets	87,296	94,354	92,763	97,703	100,549	104,816
Total current liabilities	14,601	19,950	19,724	23,571	25,249	21,281
Total debt (short + long term)	44,737	44,542	40,603	43,426	45,735	47,214
Total liabilities	66,012	69,494	66,937	70,223	74,177	70,541
Total shareholders' equity	19,299	22,999	24,105	25,941	24,856	32,169
Net debt (calculated)	37,942	34,858	31,084	34,060	34,907	36,944

Goodwill and intangible assets equaled \$28.0 billion at year-end 2025, approximately 27 percent of total assets and 87 percent of shareholders' equity, reflecting the accumulated impact of the fairlife, BODYARMOR, Costa Coffee and other brand acquisitions; the FY2025 BODYARMOR trademark impairment of \$960 million is a reminder that this balance carries real re-measurement risk if an acquired brand underperforms. The equity ratio has strengthened from 22.1 percent in 2020 to 30.7 percent in 2025 as retained earnings have compounded and net debt has been reduced in absolute terms even as the balance sheet has grown; working capital remains structurally negative-to-low in nature (current ratio near 1.0 to 1.5 times across the period), typical of a consumer-staples business with strong bottler and retailer payment terms. No unusual red flags were identified in receivables or inventory build relative to revenue growth over the period; the more significant balance-sheet item to monitor is continued goodwill concentration should further brand-level impairments occur.

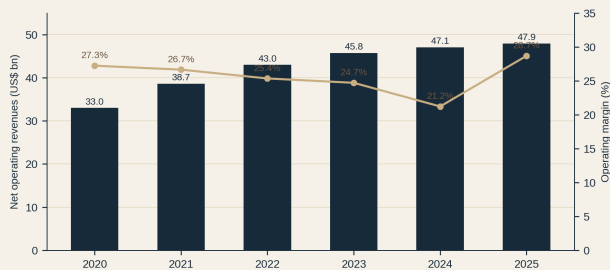
C3. Cash Flow Statement

CONSOLIDATED CASH FLOW STATEMENT, FY2020–FY2025 (US\$ MILLIONS, REPORTED)

Line item	2020	2021	2022	2023	2024	2025
Cash flow from operations	9,844	12,625	11,018	11,599	6,805	7,408
Capital expenditures	(1,177)	(1,367)	(1,484)	(1,852)	(2,064)	(2,112)
Free cash flow (calculated)	8,667	11,258	9,534	9,747	4,741	5,296
Dividends paid	(7,047)	(7,252)	(7,616)	(7,952)	(8,359)	(8,779)
Gross share repurchases	(118)	(111)	(1,418)	(2,289)	(1,795)	(746)

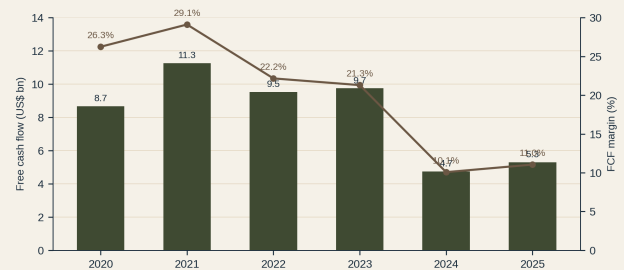
Free cash flow calculated as cash flow from operations less capital expenditures.

Net operating revenue and operating margin



FY2020–FY2025, US\$ billions and GAAP operating margin. Source: company financial statements; analyst calculation.

Free cash flow and FCF margin



FY2020–FY2025. FY2025 figure is depressed by a \$6.1bn one-off fairlife-related payment; ex-item FCF was approximately \$11.4bn. Source: company financial statements; analyst calculation.

FY2025 free cash flow of \$5.3 billion was reduced by the \$6.1 billion fairlife contingent-consideration payment referenced throughout this report; excluding that item, free cash flow was \$11.4 billion, essentially in line with the FY2021 to FY2023 range of \$9.5 to \$11.3 billion. Net income of \$13.1 billion materially exceeded free cash flow in FY2025 (a 2.5 times gap), the widest divergence in the five-year window and a clear illustration of the principle that net income is not cash flow: the gap is explained by the fairlife payment (a financing-linked, below-operating-income cash outflow classified within operating activities) plus ordinary-course working-capital and non-cash reconciling items. Trailing-twelve-month free cash flow through 30 June 2026, which no longer includes the Q1 2025 fairlife payment, was approximately \$14.3 billion, translating to a free cash flow yield of approximately 3.7 percent on the current market capitalization.

C4. Forecasting and Projections

The five-year explicit forecast below is reasoned by the analyst from company guidance and historical trends; it is not a company-provided projection beyond the disclosed FY2026 outlook figures, which are explicitly labelled.

ILLUSTRATIVE FIVE-YEAR FORECAST, BASE CASE (ANALYST ESTIMATE)

Fiscal year	2026E	2027E	2028E	2029E	2030E
Net revenue (US\$ bn)	48.7	50.6	52.9	55.3	57.5
Comparable operating margin	31.2%	31.6%	32.0%	32.3%	32.5%
Unlevered free cash flow, FCFF (US\$ bn)	11.0	11.6	12.3	13.1	13.7

Reasoned/estimated by the analyst. Revenue path assumes FY2026 reported growth is held to approximately 1.5 percent by the guided approximately 4 percent divestiture headwind from the pending CCBA transaction and approximately 1 percent currency tailwind against 4 to 5 percent organic growth guidance, with reported growth reconverging toward the 4 to 5 percent organic algorithm from FY2027 as the divestiture headwind rolls off. Margin path assumes gradual expansion from the FY2025 comparable base of 31.2 percent toward management's long-stated productivity and mix-driven margin ambition. Tax rate held at the company's guided 20.9 percent underlying effective rate; capital expenditure assumed at 4.1 to 4.3 percent of revenue, consistent with FY2026 guidance of approximately \$2.2 billion of capex on approximately \$48 to \$49 billion of revenue.

Bull case (estimated): organic revenue growth sustains at the top of the 4 to 6 percent long-term algorithm, driven by continued price/mix strength and a stabilization of unit case volume, while comparable operating margin reaches 33 to 34 percent by 2030 on productivity savings, yielding high-single-digit to low-double-digit annual FCFF growth. Bear case (estimated): unit case volume declines persist as GLP-1-driven appetite suppression and sugar-tax regulation weigh on developed-market consumption, organic growth slows to 2 to 3 percent, and margin gains stall near current levels as marketing investment must rise to defend share, holding FCFF growth to low-single-digits. Base case (estimated, shown above): organic growth in the 4 to 5 percent range with steady, moderate margin expansion, consistent with FY2026 company guidance and the FY2023 to FY2025 trend.

C5. Discounted Cash Flow (DCF) Model

The DCF model below is a simplified, analyst-constructed unlevered free cash flow model built on the base-case forecast in Section C4. It is presented as a valuation range, not a precise intrinsic-value point estimate, in line with the inherent uncertainty of any five-year-plus forecast.

REVENUE GROWTH	1.5% (2026E), stepping to 4.0–4.5% (2027E–2030E); see Section C4
OPERATING MARGIN	31.2% (2026E) expanding to 32.5% (2030E), comparable (non-GAAP) basis
TAX RATE	20.9%, per company FY2026 guided underlying effective tax rate
CAPITAL EXPENDITURE	4.1–4.3% of revenue, consistent with FY2026 guidance
NET DEBT (VALUATION DATE)	\$30.6 billion, most recent quarterly balance sheet (30 June 2026)
DILUTED SHARES OUTSTANDING	4,303 million
DISCOUNT RATE (WACC)	Range of 5.5% to 8.0% tested; CAPM-derived point estimate of approximately 5.8% (risk-free rate 4.2%, equity risk premium 5.5%, beta 0.34, after-tax cost of debt approximately 3.0%, market-value capital weights)
TERMINAL GROWTH RATE	Range of 2.0% to 3.0% tested

DCF SENSITIVITY: IMPLIED VALUE PER SHARE (US\$)

WACC \ Terminal growth	2.0%	2.5%	3.0%
5.5%	75.95	88.16	105.27
6.0%	65.46	74.46	86.45
6.5%	57.31	64.18	73.00
7.0%	50.80	56.18	62.92
7.5%	45.46	49.79	55.08

Calculated by the analyst. Grid shows implied equity value per share across a range of discount rates and terminal growth assumptions, holding the explicit FY2026–FY2030 forecast path constant.

At the CAPM-derived discount rate of approximately 5.77 percent and a 2.5 percent terminal growth rate, the model implies an enterprise value of approximately \$376 billion and an equity value per share of approximately \$80.24, roughly 10 percent

below the current market price of \$88.81. Across the full sensitivity grid, a reasonable fair value range under this methodology is approximately \$57 to \$105 per share, with the current market price sitting toward the upper-middle portion of that range. Reconciling the gap: to justify the current \$88.81 price at a more conventional 6.5 percent discount rate would require a terminal growth assumption near 3.6 percent, above the level typically used for a mature consumer-staples terminal value (usually anchored close to long-run nominal GDP growth of 2 to 2.5 percent). The more parsimonious explanation is that the market is applying a discount rate close to the low end of this analysis, consistent with Coca-Cola's low measured beta, investment-grade credit profile and the scarcity value the market assigns to a 63-year dividend-growth track record, rather than pricing in extraordinary growth or margin assumptions beyond the base case in Section C4.

C6. Leveraged Buyout (LBO) Considerations

A leveraged buyout analysis is not presented as a primary valuation tool in this report. At a market capitalization of approximately \$382 billion, Coca-Cola sits far outside the size range in which the leveraged buyout structure is a realistic ownership-transfer mechanism, and the company's investment-grade credit profile, broad public shareholder base including a large, stable long-term holder (Berkshire Hathaway), and status as a component of major equity indices make a full-company leveraged transaction economically and practically implausible under current market conditions. Financial sponsors have, however, participated selectively in bottling-system consolidation and refranchising transactions at the country or regional level; that activity is captured qualitatively in Sections A3 and A6 rather than modeled as a company-wide LBO.

D. Investment Thesis

Bull Case

Organic revenue growth sustains at the upper end of the 4 to 6 percent long-term algorithm as price/mix strength continues and unit case volume stabilizes on the back of a normalizing global consumer. Comparable operating margin expands beyond 33 percent by 2030 as productivity initiatives and the continued shift toward the asset-light bottling model (including completion of the CCBA refranchising) reduce cost intensity. Management successfully executes the CEO transition to Henrique Braun without strategic disruption, and capital allocation continues to favor the dividend while selectively deploying capital into higher-growth categories such as sports, energy and functional hydration. Under this scenario, the market could sustain or even expand Coca-Cola's premium valuation multiple, given the increasing scarcity of large-cap, investment-grade compounders with multi-decade dividend growth records.

Bear Case

Unit case volume declines accelerate as GLP-1 medication-driven appetite suppression, sugar taxation and health-driven consumer down-trading weigh more heavily on carbonated soft drink consumption than currently anticipated, forcing the company to trade price for volume and compressing organic growth toward 2 to 3 percent. The IRS transfer-pricing dispute resolves unfavorably, crystallizing a cash tax and interest liability that public reporting has sized at up to approximately \$20 billion, pressuring the balance sheet and capital allocation flexibility. Simultaneously, a normalization of interest rates or a broad market de-rating of defensive, low-beta equities compresses Coca-Cola's premium P/E multiple toward the peer average (high teens to low twenties), producing a total return meaningfully below the dividend yield alone even if operating performance holds up.

Base Case

Organic revenue growth of 4 to 5 percent, consistent with FY2026 company guidance, driven predominantly by price/mix with roughly flat to low-single-digit unit case volume growth. Comparable operating margin expands gradually from 31.2 percent toward the low 32-percent area by 2030 as productivity gains are partially reinvested in marketing and innovation. Capital allocation remains dividend-first, with the 63-year increase streak extended annually and share repurchases used opportunistically rather than as the primary return-of-capital vehicle. The valuation multiple holds roughly in its current range absent a broader market re-rating event, such that total shareholder return over the medium term is driven primarily by earnings growth and the dividend rather than multiple expansion.

Catalysts

- Quarterly earnings releases, particularly confirmation of organic revenue growth and comparable margin trajectory against the 4 to 5 percent / 31 to 33 percent FY2026 guidance corridors.
- Resolution (at the U.S. Court of Appeals for the Eleventh Circuit or beyond) of the IRS transfer-pricing dispute.
- Completion of the pending Coca-Cola Beverages Africa (CCBA) partial divestiture, expected to close in the second half of 2026.
- Execution of the CEO transition to Henrique Braun and any associated strategic or organizational announcements.
- Continued dividend increases at the company's typically announced cadence (historically in February).
- Share buyback pace relative to the approximately \$5.2 billion remaining repurchase authorization.

Things to Monitor

MONITORING LIST

Metric or event	Why it matters	Positive signal	Negative signal
Global unit case volume	Primary indicator of underlying consumer demand independent of pricing	Return to positive volume growth across major segments	Continued flat-to-negative volume requiring ever-higher price/mix to sustain revenue growth
Comparable operating margin	Tests whether productivity gains are outpacing marketing and input-cost reinvestment	Sustained expansion toward the low-to-mid 32-percent area	Stalling or reversal versus the FY2025 base of 31.2 percent
Operating cash flow / net income	Signals whether reported earnings are being converted into cash at a normal rate	Ratio recovers toward the FY2021–FY2023 range of 1.1 to 1.3 times	Ratio remains depressed below 0.7 times outside of known one-off items
IRS transfer-pricing litigation	Single largest identified tail risk to the balance sheet and capital allocation capacity	Favorable ruling or negotiated settlement below reported exposure	Adverse appellate ruling affirming a multi-billion-dollar liability
CCBA divestiture completion	Final step in the decade-long asset-light bottling transition	Transaction closes on guided terms and timeline (H2 2026)	Delay, renegotiation, or a materially dilutive structure
Net debt / EBITDA	Balance-sheet capacity for continued dividend growth and bolt-on M&A	Holds at or below approximately 2.0 times	Sustained move above 2.5 times

E. Final Investment Framework

BUSINESS QUALITY	High. An asset-light concentrate and brand-licensing model converts global brand equity into gross margins near 60 percent and returns on invested capital calculated at 20 to 23 percent in recent years, with limited incremental capital requirements.
FINANCIAL QUALITY	Solid, with a caveat. Investment-grade balance sheet, net debt to EBITDA near 2.0 times, and a 63-year dividend growth streak; however, operating cash flow to net income has declined from 1.29 times (FY2021) to 0.57 times (FY2025), a trend that requires confirmation of normalization in FY2026.
COMPETITIVE POSITION	Strong. Co-leader of the global NARTD category alongside PepsiCo, with the broadest bottling and distribution network in the industry and value-share gains reported across all four geographic segments in FY2025.
MANAGEMENT	Continuity-oriented. Internal promotion of Henrique Braun to CEO (effective 31 March 2026) with James Quincey remaining as Executive Chairman signals strategic continuity; capital allocation has consistently prioritized the dividend and disciplined bolt-on M&A over aggressive buybacks or leverage.
INDUSTRY	Mature in core carbonated soft drinks, growing in water, sports, coffee/tea and energy, and increasingly reshaped by sugar-reduction regulation and GLP-1-driven shifts in consumer appetite.
VALUATION	Full to rich. Trailing P/E of 26.5 times and calculated EV/EBITDA near 24 times sit above both packaged-beverage peers and the analyst's DCF-implied range under most reasonable discount-rate and terminal-growth assumptions.
TECHNICAL AND MARKET STRUCTURE	Constructive. Price trades above both its 50-day and 200-day moving averages, roughly 4 percent below its 52-week high, with a low reported beta of 0.34 consistent with its defensive classification.
PRINCIPAL RISK	An adverse resolution of the multi-billion-dollar IRS transfer-pricing dispute, alongside structural volume pressure on core carbonated soft drinks.
PRINCIPAL CATALYST	Sustained delivery of FY2026 guidance (4 to 5 percent organic revenue growth, 7 to 8 percent comparable EPS growth) through the CEO transition.
KEY VARIABLE	The trajectory of comparable operating margin, since the current valuation appears to price in continued expansion toward the upper end of management's guided range rather than merely its maintenance.
THESIS INVALIDATION	The investment thesis would become materially weaker if global unit case volume turns persistently negative for more than two consecutive fiscal years, if comparable operating margin fails to hold above its FY2025 base of 31.2 percent for two consecutive fiscal years, or if the IRS dispute is resolved against the company at or near the reported maximum exposure of approximately \$20 billion.

F. Data Table

STANDARDIZED COMPANY SNAPSHOT

Category	Metric	Current	Prior year (FY2024)	5-year trend (FY2020 to FY2025)
Market	Market capitalization	\$382.1bn	N/A	N/A
Market	Enterprise value (calculated)	\$412.7bn	N/A	N/A
Market	Share price (3 Sep 2026 close)	\$88.81	N/A	N/A
Growth	Revenue growth (reported)	+1.9% (FY25)	+2.9% (FY24)	+5.5% CAGR
Profitability	Gross margin	61.6%	61.1%	59.3% to 61.6%
Profitability	Operating margin (GAAP)	28.7%	21.2%	21.2% to 28.7%
Profitability	Net margin	27.3%	22.6%	22.2% to 27.3%
Profitability	Return on equity (calculated)	46.0%	41.9%	40.1% to 46.2%
Profitability	Return on invested capital (calculated)	22.5%	20.0%	15.6% to 22.5%
Cash flow	Operating cash flow	\$7.4bn	\$6.8bn	\$6.8bn to \$12.6bn
Cash flow	Free cash flow (calculated)	\$5.3bn	\$4.7bn	\$4.7bn to \$11.3bn
Leverage	Net debt / EBITDA (calculated)	1.98x	2.21x	1.98x to 2.98x
Valuation	P/E (trailing)	26.5x	N/A	N/A
Valuation	EV/EBITDA (calculated)	24.3x	N/A	N/A
Valuation	P/FCF (calculated, TTM)	26.7x	N/A	N/A
Market	Beta	0.34	N/A	N/A
Market	52-week range	\$64.04–\$92.49	N/A	N/A
Market	Maximum drawdown from 52-week high (current)	-4.0%	N/A	N/A

Current column figures are as of FY2025 (fiscal year ended 31 December 2025) for income-statement and cash-flow items, and as of 3 September 2026 for market data, as specified. Revenue growth figures are reported (GAAP) year-over-year growth; the company's non-GAAP organic revenue growth was 5% in both FY2025 and FY2024. Cells marked N/A were not calculated as a single-period or trend figure was not applicable or not meaningfully comparable given the metric's nature.

G. Sources and Methodology

Primary Sources

The Coca-Cola Company – Form 10-K, fiscal year ended 31 December 2025 (filed 20 February 2026).

<https://www.sec.gov/Archives/edgar/data/21344/000162828026010047/ko-20251231.htm>

Used for: business description, bottler agreement structure, segment definitions, risk factors, and audited financial statement figures.

The Coca-Cola Company – "Coca-Cola Reports Fourth Quarter and Full Year 2025 Results," Investor Relations, 10 February 2026.

<https://investors.coca-colacompany.com/news-events/press-releases/detail/1151/coca-cola-reports-fourth-quarter-and-full-year-2025-results>

Used for: FY2025 revenue, operating income, EPS, cash flow, segment growth rates, capital allocation detail, and FY2026 outlook.

The Coca-Cola Company – Investor Relations "Segments" disclosure page.

<https://investors.coca-colacompany.com/about/segments>

Used for: FY2025 comparable net revenue and operating income by geographic segment, key bottler identification, and unit case volume mix by country and category.

The Coca-Cola Company – "The Coca-Cola Company Announces CEO Succession Plan," Media Center, 10 December 2025.

<https://www.coca-colacompany.com/media-center/the-coca-cola-company-announces-ceo-succession-plan>

Used for: management transition detail, biographical information on Henrique Braun and James Quincey.

Alpha Vantage – Fundamental and market data API (company overview, income statement, balance sheet, cash flow, earnings, dividends, daily price series, global quote), queried 4 September 2026 for KO, PEP and KDP.

<https://www.alphavantage.co/documentation/>

Used for: five-year GAAP financial statement history, trailing valuation multiples, dividend history, most recent quarterly balance sheet, and daily closing price series.

Secondary Sources

Fox Business – "Coca-Cola battles IRS in federal appeals court with \$20 billion at stake," 22 June 2026.

<https://www.foxbusiness.com/markets/coca-cola-takes-its-fight-irs-federal-appeals-court-20b-line>

Used for: detail on the ongoing IRS transfer-pricing dispute, including the \$6 billion already paid following the 2020 Tax Court ruling and the estimated additional \$14 billion exposure for the 2010–2025 tax years.

Total Real Returns – KO total return data page, accessed 4 September 2026 (data through 2 September 2026).

<https://totalrealreturns.com/n/KO>

Used for: dividend-reinvested year-to-date, 1-year, 3-year and 5-year total return figures.

Market Data

Alpha Vantage – Global Quote and daily adjusted price series for KO, retrieved 4 September 2026; closing price, volume and moving averages as of 3 September 2026 (latest completed trading session as of the report date).

Calculations

The following are calculated by the analyst rather than directly reported by a source, and are labelled as such throughout the report: EBITDA and EBITDA margin; free cash flow and free cash flow margin; net debt and net debt/EBITDA; return on equity and return on invested capital; enterprise value and EV-based multiples (EV/EBITDA, EV/Revenue, EV/FCF); the five-year forecast in Section C4; and the discounted cash flow model and sensitivity grid in Section C5, including the CAPM-derived discount rate.

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